

48. **Value of the security.** — Trustees cannot be advised to advance more than *two-thirds* of the actual value of the estate, if it be *freehold land* (*c*); and if the property consist of *freehold houses*, they should not lend so much as two-thirds (*d*), but (say) one-half of the actual value (*e*). The rule, however, of two-thirds, or one-half, is only a general one; and where trustees have lent on the security of property of less value, but have acted honestly, they have been protected by the Court, and have been allowed their costs (*f*). As to buildings used in *trade*, and the value of which must depend on external and uncertain circumstances, trustees would not, in general, be justified in lending so much as one-half (*g*). [And trustees should not lend on the security of unlet houses especially if the mortgagor is a builder (*h*).]

Ground rents. — A power of investment upon the security of freehold or copyhold hereditaments will authorise trustees to invest upon *freehold ground rents* reserved out of houses, and upon the question of value it will be borne in mind that the value of the houses is included, as, if the ground rents be not paid, the landlord can enter (*i*).

49. **Trustees may not lend on mortgage to one of themselves.** — Trustees are precluded from lending on mortgage to one of themselves, as all must exercise an impartial judgment as to the sufficiency of the security (*j*).

(*c*) *Stickney v. Sewell*, 1 M. & Cr. 8; *Norris v. Wright*, 14 Beav. 307; *Macleod v. Annesley*, 16 Beav. 600; *Ingle v. Partridge* (No. 2), 34 Beav. 411; *Roddy v. Williams*, 3 Jones & Lat. 16, *per Cur.*

(*d*) *Stickney v. Sewell*, *Norris v. Wright*, *ubi supra*; *Phillipson v. Gatty*, 7 Hare, 516; *Drosier v. Brereton*, 15 Beav. 221.

(*e*) *Stretton v. Ashmall*, 3 Drew. 12; *Macleod v. Annesley*, 16 Beav. 600; *Budge v. Gummow*, 7 L. R. Ch. App. 719; [*Hoey v. Green*, W. N. 1884, p. 236.]

(*f*) *Jones v. Lewis*, 3 De G. & Sm. 471. Reversed on appeal, it is believed, by Lord Truro, on Feb. 26,

1852, but on what grounds not known [*Re Godfrey*, 23 Ch. D. 483.] And see *Vickery v. Evans*, 3 N. R. 286.

(*g*) *Stickney v. Sewell*, 1 M. & Cr. 8; and see *Stretton v. Ashmall*, 3 Drew. 9; *Royds v. Royds*, 14 Beav. 54, cases of trade and manufacturing premises.

[(*h*) *Hoey v. Green*, W. N. 1884, p. 236; *Fry v. Tapson*, 51 L. T. N. S. 326; 33 W. R. 113; 28 Ch. D. 268; *Smethurst v. Hastings*, 52 L. T. N. S. 567; 33 W. R. 496; 30 Ch. D. 490.

(*i*) *Vickery v. Evans*, 3 N. R. 286.

(*j*) *Stickney v. Sewell*, *ubi supra*; and see — *v. Walker*, 5 Russ. 7; *Francis v. Francis*, 5 De G. M. & G.